BANKING OFFENCES AND PUNISHMENT ACT

बैंकिङ कसूर तथा सजाय ऐन, 2064

UPTO 2nd AMENDMENT
(24th Baisakh 2082)



COMPLETE
INFOGRAPHIC COVERAGE

- All Sections Explained
- Amendments Included
- Clear & Simple Infographics
- Exam/Study Ready



By
CA Govinda Tamang
CHARTERED ACCOUNTANT

BANKING OFFENCES AND PUNISHMENTS ACT, 2064 (NEPAL)

PURPOSE



- Regulate crimes and misconduct in banking and financial systems.



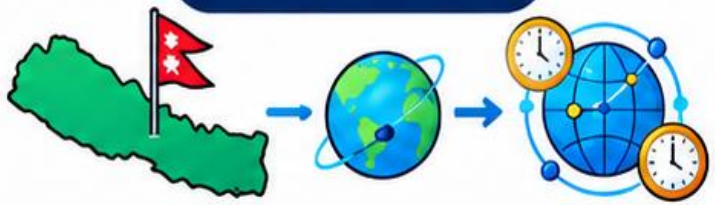
- Reduce risks, protect integrity and reliability of banking operations.



- Provide legal framework for penalties.



SCOPE



- Applies throughout Nepal, and also to any person or institution residing abroad who committed a banking offence in Nepal.
- Enforced immediately upon enactment.



AMENDMENTS





Authentication and Publication Date:
2064 | 10 | 23 (BS)

Amending Acts:

1. Banking Offense and Punishment (First Amendment) Act, 2073 (2073 | 06 | 18)
2. Act Amending Some Nepal Acts Related to the Civil Code, 2075 (2076 | 01 | 02)
3. Banking Offense and Punishment (Second Amendment) Act, 2082 (2082 | 01 | 24)

KEY FEATURES

OFFENCES COVERED



Fraud, Embezzlement, Unauthorized Transactions, Violations of Banking Regulations

TARGET



Individuals, Banks, Cooperative Banks, Financial Institutions

PENALTIES



Imprisonment, Fines, Other Legal Actions (depending on severity)

OBJECTIVE



Maintain Trust, Reliability, and Security in the banking sector

COMPARATIVE ANALYSIS: BAFIA 2073 vs. BOAP 2064

BAFIA, 2073 (Bank and Financial Institutions Act)

PRIMARILY A REGULATORY LAW

DEALS WITH VIOLATIONS OF

- BANKING REGULATIONS
- GOVERNANCE
- COMPLIANCE
- PRUDENTIAL NORMS
- FIT & PROPER REQUIREMENTS

PUNISHMENTS GENERALLY INCLUDE ADMINISTRATIVE ACTIONS

- FINES
- SUSPENSION
- REMOVAL FROM OFFICE
- BLACKLISTING
- DIRECTIVES & RESTRICTIONS

ENFORCEMENT MAINLY BY NEPAL RASTRA BANK

FOCUS: PROTECTING THE BANKING SYSTEM AND ENSURING COMPLIANCE

VIOLATION DOES NOT ALWAYS REQUIRE CRIMINAL INTENT

BOAP, 2064 (Banking Offence and Punishment Act)

PRIMARILY A CRIMINAL LAW

DEALS WITH BANKING CRIMES SUCH AS

- FRAUD
- FAKE DOCUMENTS
- LOAN FRAUD
- CHEQUE DISHONOUR
- UNAUTHORIZED WITHDRAWALS
- MISUSE OF BANK ASSETS

PUNISHMENTS INCLUDE

- IMPRISONMENT
- RECOVERY OF bigo (Amount involved in offence)
- FINES EQUAL TO BIGO

INVESTIGATION BY LAW ENFORCEMENT AND PROSECUTION BY GOVERNMENT OF NEPAL

FOCUS: PUNISHING CRIMINAL CONDUCT AND COMPENSATING LOSSES

MOST OFFENCES INVOLVE FRAUD, DECEPTION, MISUSE, OR DISHONEST CONDUCT

ACT OVERVIEW – 5 CHAPTERS AT A GLANCE

01	**PRELIMINARY** Title, Scope, Commencement & Definitions	Sections 1–2
02	**BANKING OFFENCES** 15 types of banking offences defined	Sections 3–14Kha (Sec 4 repealed)
03	**PUNISHMENT** Fines, imprisonment & punishment for obstruction	Section 15–16
04	**PROCEEDINGS & DISPOSAL** FIR timelines, plaintiff, custody rules, Special Investigation Team and power to demand information	Sections 17–19
05	**MISCELLANEOUS** Cooperation, notices, regulations & more	Sections 20–29

Chapter

1

2 Sections

Chapter 1

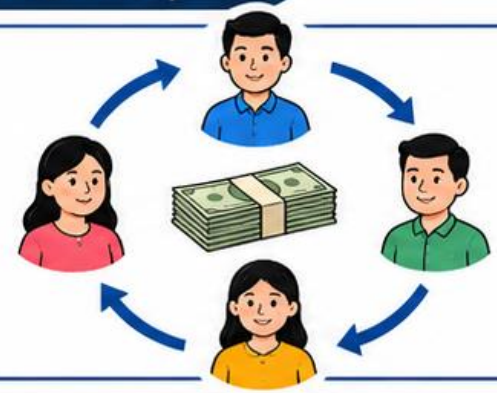
Preliminary

Section	Section Name
1	Short Title, Extent and Commencement
2	Definitions

Section 2 – Key Definitions
(Banking & Financial Institutions Act, 2073)

(g) "Rotating Credit (Dhukuti)"

means a practice where money is **collected** and **distributed in rotation** among participants based on **mutual agreement**.



Key Idea:
Each participant gets the collected money **in turn.**

(j) "Family 'y Member'"



Includes all above who live in a joint household, and also:

means to the **husband**, **wife**, **son**, **daughter**, **adopted son**, **adopted daughter**, **father**, **mother**, or **stepmother** living in a joint household with the founder, director, shareholder deemed to have a financial interest under prevailing law, chief executive officer, employee, managing agent, or related person of a bank, financial institution, or cooperative bank. The term also includes any **brother**, **sister**, **elder brother**, or **younger brother** whom one is obligated to support and maintain.

Also Includes:
- Any brother, sister, elder brother, or younger brother whom one is obligated to support and maintain.

(l) "Cheque Dishonour"

means the situation where a bank or financial institution, as certified under Section 3(Ka)(5), **cannot make payment** of the amount mentioned in a cheque **due to insufficient funds** in the account of the cheque issuer.



In Simple Words:
Cheque cannot be honoured due to **insufficient funds.**

Chapter

2

16 Sections

Chapter 2

Banking Offences

Section	Section Name
3	Prohibition on Unauthorized Opening of Account or Demanding Payment
3(Ka)	Prohibition on Issuing Cheque without Sufficient Balance
4	*(Repealed)*
5	Prohibition on Unauthorized Withdrawal or Payment
6	Prohibition on Misuse or Unauthorized Use of Electronic Means for Payment
7	Prohibition on Taking or Giving Loan in Unauthorized Manner
8	Prohibition on Misuse of Loan
9	Prohibition on Misuse of Banking Resources, Means and Property
10	Prohibition on Debtor Withdrawing Money or Acquiring Property
11	Prohibition on Stopping Loan or Facility in a Manner Harmful to Debtor's Ongoing Project
12	Prohibition on Forgery or Fraud by Altering Documents or Account Books
12(Ka)	Prohibition on Deceiving Bank or Financial Institution in Transactions
13	Prohibition on Over-valuation, Under-valuation or Incorrect Valuation and Preparation of False Financials
14	Prohibition on Irregular Financial and Economic Transactions
14(Ka)	Prohibition on Dhukuti (Rotating Credit) Transactions
14(Kha)	Prohibition on Conducting Banking Transactions without Approval

REGULATORY PROHIBITIONS AND PROCEDURES

SECTION 3: PROHIBITION ON UNAUTHORIZED ACCOUNT OPENING OR DEMANDING PAYMENT

FRAUDULENT DOCUMENTS: PROHIBITED TO:









SUBMIT FRAUDULENT DOCUMENTS to open a bank account or knowingly open an account using such documents



DEPOSIT OR WITHDRAW MONEY from such accounts, assist in such activities, or use electronic cards/devices to withdraw money

UNAUTHORIZED ACCOUNT OPENING: PROHIBITED TO:



OPEN, OR ASSIST IN OPENING, an account in another person's name without legal authority

CLAUSE (c): REPEALED

SECTION 3(KA): PROHIBITION ON ISSUING CHEQUES WITHOUT SUFFICIENT FUNDS





PROHIBITION:
No person may issue a cheque or demand its payment when the account has insufficient funds to cover the cheque amount



CHEQUE RETURN:
If the account lacks sufficient funds when a cheque is presented, the bank or financial institution must return it to the holder



RECORDING NOTIFICATION:
After recording the notification, the bank must indicate the relevant details on the cheque and return it to the holder



NOTICE TO ACCOUNT HOLDER:
If the holder requests certification of cheque dishonour, the bank must:

- ☑ Notify the account holder through any medium to deposit the required amount within a maximum of 45 days.
- ☑ Maintain a record of the notification.



DISHONOUR CERTIFICATION:
If the account holder fails to deposit the required amount within the specified period:

- ☑ The holder may again demand payment.
- ☑ If funds remain insufficient, the bank must certify the cheque dishonour and return it to the holder within 3 days

IF HOLDER RECOVERS FUNDS



OPPORTUNITY TO PAY:
After receiving notification, the account holder may pay the cheque amount directly to the holder and obtain the returned cheque



PROCEDURE:
Nepal Rastra Bank determines the procedure for certifying cheque dishonour



5 Prohibition on Unauthorized Withdrawal or Payment



No person shall:

(a) Unauthorized Withdrawal: Withdraw funds from another person's account without authorization.

(b) Repealed.



No person shall:

(c) Unauthorized Transfer or Payment: Transfer funds or make cash payments from a customer's account without authorization.

(d) Repealed.

6 Prohibition on Misuse or Unauthorized Use of Electronic Means



No person shall:

Misuse or Unauthorized Use: Misuse or use without authorization any credit card, debit card, ATM card or other electronic means to receive or make payments.

7 Prohibition on Unauthorized Lending or Borrowing



No person shall:

(a) False Financial Statements: Present false, incorrect or non-existent financial statements or create fictitious businesses to obtain or provide loans.



No person shall:

(b) Overvaluation of Collateral: Obtain or provide loans by unreasonably overvaluing collateral.



No person shall:

(c) Inflated Project Costs: Increase project costs through false statements to obtain or provide excessive loans.



No person shall:

(d) Exceeding Approved Limits: Obtain or provide loans, facilities or benefits beyond authorized limits or approved amounts.



No person shall:

(d1) Loans to Bank Employees: A CEO or employee of a bank or financial institution shall not obtain loans or advances from that institution, except as employee benefits permitted under staff administration or staff facilities regulations.



No person shall:

(d2) Loans to Interested Persons: Founders, operators, shareholders having financial interests and their family members shall not obtain loans from their own bank, except loans against government bonds, gold or silver.



No person shall:

(e) Improper Transfer of Collateral: Obtain or provide loans by transferring collateral from one institution to another without proper clearance. Secondary mortgages permitted under securitization law are exempt.



No person shall:

(f) Fictitious Institutions or Borrowers: Knowingly establish institutions in the names of financially incapable persons or persons having undue influence, or create fictitious borrowers, to obtain or provide loans.



No person shall:

(g) Excessive Lending: Provide loans exceeding the amount necessary for the customer's business.



No person shall:

(h) Improper Benefits: Obtain or provide improper benefits in connection with loan facilities.



No person shall:

(i) Fictitious Borrowers by Management: Founders, operators or CEOs create fictitious borrowers to obtain or distribute part or all of the loan amount.



No person shall:

(j) Loans to Financially Interested Persons: Founders, operators or authorized lending officers extend loans to persons in whom they have financial interests.

BANKING REGULATIONS: PROHIBITIONS & RESTRICTIONS

SECTION 8

Section 8: Prohibition on Loan Misuse



Loan Misuse:

No person shall use a loan obtained from a bank or financial institution for any purpose other than the purpose for which the loan facility was granted.



SECTION 9

Section 9: Prohibition on Misuse of Banking Resources, Means and Property

(1) Misuse of Banking Resources





- Founder
- Operator
- Shareholder having financial interest
- Chief Executive Officer
- Employee
- Managing agent
- Related person
- Family member

Exceptions

(i) CEOs and employees may obtain loans or advances under permitted employee benefits.

(ii) Close relatives may receive loans or facilities with approval of the Board of Directors.

Clarification

(a) Family Member



Spouse, children, siblings, nephews, nieces, parents, stepmother and dependents under care.

(b) Close Relative



Unmarried siblings, married siblings, sisters-in-law, brothers-in-law, cousins, in-laws, aunts, uncles and their descendants.

(2) Damage to Bank Property



No person shall waste or damage the property of a bank or financial institution in a manner prejudicial to its interests.

(3) Economic Irregularities



No person shall create economic irregularitiies in the sale, mortgage or business dealings involving banking and non-banking property of a bank or financiai institution.

SECTION 10

Section 10: Prohibition on Blacklisted Borrowers Acquiring Property or Funds

(1) Restrictions on Blacklisted Borrowers



A borrower listed as a defaulter beyond the loan repayment period shall not:

- Open accounts or deposit funds in banks within Nepal or abroad
- Continue or operate such accounts in any manner
- Purchase movable or immovable property
- Acquire any claim or right over property

Exceptions

(a) Temporary Account/Funds

May open an account or deposit funds for up to 30 days for loan repayment and cheque clearance.

(b) Living Expenses

May withdraw funds for basic daily living expenses up to the prescribed amount.



BANKING OFFENCES: A GUIDE TO KEY SECTIONS (SECTIONS 11, 12 & 12A)

CHAPTER 2 – BANKING OFFENCES

SECTION 11: UNJUSTIFIED SUSPENSION OF APPROVED LOANS OR FACILITIES





STOPPING REMAINING INSTALLMENTS WITHOUT SUFFICIENT GROUNDS AFTER 1st DISBURSEMENT IS PROHIBITED



SUSPENSION MUST NOT CAUSE HARM TO AN ONGOING PROJECT



SECTION 12: FORGERY, FALSIFICATION, AND MANIPULATION OF RECORDS



1. 

ALTERING, DELETING, OR MANIPULATING ENTRIES IN BANK RECORDS

2. 
CREATING OR USING FORGED DOCUMENTS FOR PERSONAL GAIN OR CAUSING LOSS

3. 
MAKING FALSE STATEMENTS, FABRICATING FACTS, CHANGING DATES, AMOUNTS, OR SIGNATURES

4. 
ANY FORGERY INTENDED TO DECEIVE OR CAUSE FINANCIAL LOSS IS AN OFFENCE

SECTION 12A: FRAUDULENT DEALINGS WITH BANKS AND FINANCIAL INSTITUTIONS



1. **FRAUDULENT ACQUISITION OF BANK PROPERTY**

ACQUIRING OR TRANSFERRING BANK PROPERTY THROUGH DECEPTION OR FORGED DOCUMENTS

2. **OBTAINING BANK ASSETS THROUGH DECEPTION**

OBTAINING CASH, FUNDS, OR COLLATERAL THROUGH FALSE REPRESENTATIONS



3. 
FALSE IDENTITY AND MISREPRESENTATION

CONDUCTING TRANSACTIONS USING FALSE IDENTITY, IMPERSONATION, OR DECEIVING A BANK



ANY ACT CAUSING FINANCIAL LOSS TO A BANK FOR SELF-GAIN IS AN OFFENCE

GUIDE TO BANKING OFFENCES & PROHIBITIONS

SECTIONS 13, 14, 14A, & 14B.

SECTION 13: PROHIBITION ON VALUATION & FINANCIAL STATEMENTS

(1) FALSE VALUATION OF COLLATERAL/BANK PROPERTY



Overvaluation, undervaluation or false valuation is prohibited.

(2) CONFLICT OF INTEREST IN VALUATION



Valuers cannot value properties of entities they have a financial interest in.

(3) DIFFERENT FINANCIAL STATEMENTS FOR LOANS



Preparing different financial statements for loans is prohibited.

(4) AUDITOR'S FINANCIAL STATEMENTS



Auditors must not certify differing financial statements without disclosing full opinions and

SECTION 14: PROHIBITION ON IRREGULAR TRANSACTIONS



Performing any malicious act to obtain unlawful benefit or cause loss is prohibited.

SECTION 14A: PROHIBITION ON DHUKUTI (INFORMAL SAVINGS)



No person shall operate a Dhukuti business.

SECTION 14B: COOPERATIVE BANKING BUSINESS WITHOUT APPROVAL



Cooperative banks shall not conduct banking transactions without Nepal Rastra Bank approval.



Chapter

3

2 Sections

Chapter 3

Punishment

Section	Section Name
15	Punishment
16	Punishment for Obstruction

Section 15(1) and 15(1A) – account, loan and cheque offences

Bigo = the amount involved in the offence; it is recovered from the offender in every case

15(1) Fine-based offences

s.3 **Unauthorised account opening or demanding payment**

Opening an account on fake documents (or depositing into, withdrawing from or using a card on such an account), or opening an account in another person's name without legal authority.

s.11 **Stopping a loan to harm an ongoing project**

A bank stopping the remaining loan instalments without sufficient and reasonable cause, harming the borrower's ongoing project.

Punishment

- **Both:** bigo recovered + fine equal to the bigo
- **s.3:** plus imprisonment up to 3 months
- **s.11:** fine only – no imprisonment

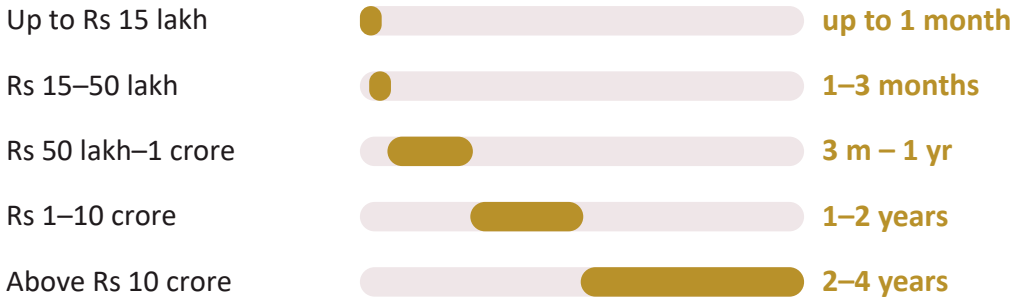
15(1A) Cheque dishonour

s.3A **Cheque without sufficient balance**

Issuing a cheque, or demanding its payment, without sufficient balance – punishable once the bank certifies dishonour (s.3A(5)). Can be settled by paying the holder (s.26A).

- **To holder:** cheque amount + interest from date of issue
- **Fine:** 5% of the bigo

Imprisonment by amount (scale: 0–4 years)



Section 15(2) – the main group of banking offences

Bigo recovered + fine equal to the bigo + imprisonment that rises with the amount

15(2) Offences punished under this sub-section

s.5 Unauthorised withdrawal or payment

Withdrawing, transferring or paying from someone's account without authority.

s.6 Misuse of electronic means

Misusing, or using without authority, a credit, debit or ATM card.

s.8 Misuse of loan

Using a loan for a purpose other than the one it was taken for.

s.9 Misuse of banking resources

Insiders misusing bank resources; wasting or mishandling bank property.

s.10 Blacklisted borrower

A blacklisted defaulter opening or running accounts or buying property.

s.12 Forgery of documents

Altering, erasing or forging bank documents or books to gain or mislead.

s.14 Irregular transactions

Dealings meant to harm the bank: improper payments, gifts or benefits.

s.7(d)–(j) Improper lending

(d) beyond authority or sanctioned limit
(d1) CEO/staff borrowing outside staff rules
(d2) promoter, director or their family borrowing
(e) re-pledging collateral already pledged
(f) credit via dummy or incapable borrowers
(g) credit beyond business need
(h) undue benefit for giving credit
(i) dummy borrower created by top management
(j) lending to a party of financial interest

Punishment

Recover the bigo

Fine equal to the bigo

Imprisonment by amount

Up to Rs 10 lakh	**up to 1 yr**
Rs 10–50 lakh	**2–3 yrs**
Rs 50 lakh–1 crore	**3–4 yrs**
Rs 1–10 crore	**4–6 yrs**
Rs 10–50 crore	**6–8 yrs**
Rs 50 crore–1 arba	**8–10 yrs**
Above Rs 1 arba	**10–12 yrs**

Section 15(3) – false statements and deceptive dealings

Both clauses: bigo recovered + fine equal to the bigo + imprisonment

15(3)(a) Credit fraud and false valuation

s.7(a) False financial statements

Credit on false or non-existent financial statements, or through a fictitious business.

s.7(b) Over-valued collateral

Obtaining or giving credit by unreasonably over-valuing the collateral.

s.7(c) Inflated project cost

Taking or giving excess credit by inflating the project cost on false details.

s.13 Wrong valuation and dual statements

Valuers mis-valuing assets or valuing where interested; borrowers preparing, and auditors certifying, two sets of statements for one period.

Imprisonment **up to 4 years** *(flat – not by amount)*

15(3)(b) Deceptive dealings and dhukuti

s.12A Deceptive transactions with banks

Forged ownership claims over bank property, deceit to obtain bank funds, or false identity to deal with a bank or evade punishment.

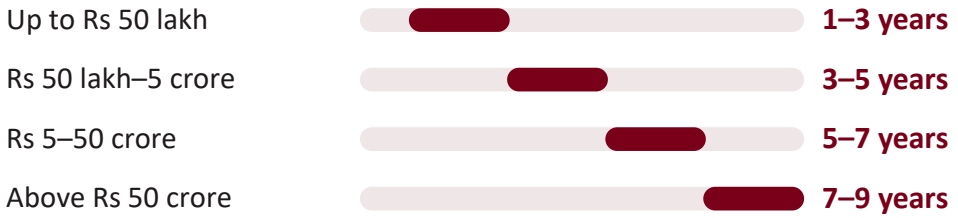
s.14A Dhukuti

Running or taking part in rotating-credit (dhukuti) transactions.

s.14B Unapproved banking

A cooperative bank carrying on banking without NRB approval.

Imprisonment by amount (scale: 0–9 years)



Section 15(5)–(8) and Section 16 – common rules

Who is liable, how the term is adjusted, and the penalty for obstruction

15(5)

Bigo cannot be fixed

Fine up to Rs 10 lakh and imprisonment up to 2 years, by gravity of the offence

15(6)*

Offence by an institution

The officer or employee who committed it; if not identified, the person acting as office head at the time

15(6)

Attempt or abetment

Half the punishment of the principal offender, for a person or institution

15(7)

Institution attempts or abets

Its CEO, office-bearer or person acting as executive is punished

15(8)

Chairperson, director or CEO

One additional year of imprisonment on top of the punishment

Section 16

Obstructing investigation

Up to 6 months or fine up to Rs 5,000, or both – imposed on the investigating officer's report

** The Nepali text has two sub-sections numbered (6); the first was inserted by the First Amendment*

Chapter

4

5 Sections

Chapter 4

Case Proceedings and Disposal

Section	Section Name
17	Period for Filing Complaint and Limitation
18	Government to be Plaintiff
19	Detention during Proceedings
19(Ka)	Power to Form Special Investigation Team
19(Kha)	Power to Demand Information

SECTION 17: LIMITATION FOR COMPLAINT & PROSECUTION



Standard Timeline



DATE → **1 YEAR** → **6 MONTHS**

OFFENCE KNOWN

COMPLAINT MUST BE FILED

CASE MUST BE FILED IN DESIGNATED COURT



CHEQUE DISHONOUR CASES



DATE → **1 YEAR** → **6 MONTHS**

DISHONOUR ESTABLISHED

COMPLAINT FILED

CASE FILED IN DISTRICT COURT



Exception

Where an EMPLOYEE or OFFICER causes loss while in office, proceedings can be initiated

AT ANY TIME, EVEN AFTER RETIREMENT



GUIDE TO BANKING OFFENCE ACT SECTIONS: 18, 19, 19A & 19B

SECTION 18: STATE PROSECUTION



SECTION 19: DETENTION DURING INVESTIGATION



RISK OF DESTRUCTION OF EVIDENCE



OBSTRUCTION OF INVESTIGATION



NO PERMANENT RESIDENCE
(If imprisonment ≥ 6 months likely)





CANNOT COMPLETE IN 24 HRS
IN 24 HRS -> PRODUCE BEFORE ADJUDICATING AUTHORITY



REQUEST MUST STATE:
- Allegation
- Grounds
- Reasons
- Recorded Statements



PERIODS ≤ 7 DAYS AT A TIME.
TOTAL ≤ 60 DAYS



TOTAL ≤ MAX IMPRISONMENT PRESCRIBED

SECTION 19A: SPECIAL INVESTIGATION TEAM (SIT)



GOVT. OF NEPAL MAY FORM SIT



MAY INCLUDE BANKING/FINANCIAL EXPERTS



FORMED IN CONSULTATION WITH:
Attorney General
Inspector General of Police
Nepal Rastra Bank



HAS SAME POWERS AS AUTHORIZED INVESTIGATING AUTHORITY

SECTION 19B: POWER TO DEMAND INFORMATION



AUTHORITIES MAY REQUIRE PROVIDING:
- Documents
- Account Info
- Records
- Relevant Info



PERSONS/INSTITUTIONS MUST PROVIDE LAWFULLY REQUESTED INFO



AUTHORITY MAY INSPECT & EXAMINE SUBMITTED RECORDS

Chapter

5

11 Sections

Chapter 5

Miscellaneous

Section	Section Name
20	Duty to Cooperate
21	No Action on Grounds of Breach of Confidentiality
22	Provisions Relating to Service of Notice
23	Publication of Notice
24	Order to Freeze Property of Foreign Person
25	Proceedings and Disposal Not to be Impeded
26	Concession in Punishment Claim
26(Ka)	Power to Compromise
27	Deemed Disqualified
28	To be Governed by Existing Law
29	Power to Frame Rules

CHAPTER–5: MISCELLANEOUS PROVISIONS (SEC 20–29)

20 DUTY TO COOPERATE

- Banks, financial institutions, cooperative banks, and concerned persons must provide necessary assistance to the investigating officer in relation to banking offences.

21 PROTECTION FOR DISCLOSURE OF INFORMATION

- Employees who provide information or assistance to prevent or prosecute banking offences shall not be punished or subjected to disciplinary action for breach of confidentiality.

22 SERVICE OF NOTICE ON FOREIGN PERSONS

- Notice may be served on a foreign person through:
  - ➢ Office or representative in Nepal; or
  - ➢ Business/ permanent/correspondence address by registered mail, telex, telefax or other recordable means; or
  - ➢ As provided in any applicable treaty.

23 PUBLIC NOTICE

- If notice cannot be served, a public notice shall be published in a national newspaper (English daily for foreign persons) at least twice.
- Up to 30 days shall be given to appear.
- Such publication is deemed valid service of notice.

24 FREEZING PROPERTY OF FOREIGN PERSONS

- If a foreign person fails to appear despite notice, the investigating officer may freeze or restrict transfer of their property, rights, interests or assets in Nepal.
- Violation of such order may result in:
  - ➢ Fine up to NPR 100,000; and
  - ➢ Liability for any resulting loss or damage.

25 CONTINUATION OF PROCEEDINGS

- Proceedings and decision of a case under this Act shall continue even if the accused or defendant dies before or during the proceedings.

26 LENIENCY FOR COOPERATION

- An accused who substantially assists in investigation may be presented as a witness and may receive full or partial exemption from punishment.
- Leniency may be withdrawn if:
  - ➢ Assistance is not corroborated; or
  - ➢ Person gives statements contrary to cooperation.

26A SETTLEMENT IN DISHONOURED CHEQUE CASES

- In cheque dishonour cases (Sec 3A), parties may settle if the cheque amount is fully paid.
- Settlement possible during investigation or after case is filed.
- Upon settlement:
  - ✓ Investigation may be suspended.
  - ✓ Court may approve settlement.
  - ✓ Defendant shall not be punished under this Act.

27 DISQUALIFICATION FROM BANKING EMPLOYMENT

- A person convicted and sentenced to imprisonment under this Act is disqualified from working as an employee of a bank or financial institution.

28 CASES INVOLVING PUBLIC OFFICIALS

- Where the offence involves public office holders or government employees, action may be taken under:
  - ➢ Commission for the Investigation of Abuse of Authority Act, 1991; and/or
  - ➢ Prevention of Corruption Act, 2002.
- Action and punishment shall follow those laws.

29 RULE-MAKING POWER

- The Government of Nepal may frame rules necessary for the effective implementation of this Act.



These provisions ensure effective investigation, fairness, cooperation and accountability in dealing with banking offences.

Thank You!



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